2023 SCC OnLine All 4072

In the High Court of Allahabad

(BEFORE SIDDHARTHA VARMA AND SHEKHAR B. SARAF, JJ.)

M/s. Zaz Leather Complex Pvt. Ltd. … Petitioner;

Versus

Kanpur Electricity Supply Co. Ltd. and Another … Respondent.

Writ - C No. - 34855 of 2011

Decided on December 13, 2023

Advocates who appeared in this case :

Counsel for Petitioner: Mayank Agrawal

Counsel for Respondent: Mridul Tripathi, Anubhav Singh, S.C.

The Judgment of the Court was delivered by

SIDDHARTHA VARMA, J. and SHEKHAR B. SARAF, J.:— Heard Shri Mayank Agrawal, learned counsel for petitioner, Shri Anubhav Singh, learned counsel for Electricity Department and perused the record.

2. The petitioner who had entered into the business of producing leather products applied for an electricity connection of 480KVA in the year 2007 and the same was also granted to it on 29.2.2007. Since the connection was a high power connection for the purpose of metering the used electricity, the meter reading had to be finalized after applying of a Multiplying Factor (hereinafter referred to as the “MF”) of 6.

3. The petitioner applied for an additional load of 400KVA and the same was also granted to it on 29.8.2009. Now the total load of the connection which the petitioner was getting was 880KVA. After the meter was installed, meter readings were taken by the licensee Electricity Company and there was no abnormality or discrepancy noted in the meter.

4. On 6.4.2011, a routine checking was carried out by the officials of the respondent Electricity Company and it was observed by the inspecting team in its report that MF in the petitioner's connection which was being applied at “6” ought to have been applied at “10” and, therefore, it submitted a report that an assessment proceeding be initiated against the petitioner with regard to the report that the MF ought to have been applied at 10 and not at 6.

5. The petitioner objected on 8.6.2011. However, on 6.6.2011 for a period of 4 years i.e. from the April 2008 to May 2011, the petitioner was given a fresh bill of Rs. 1,46,48,514/- and threat of disconnection was also given to the petitioner.

6. The petitioner has challenged the demand notice/order dated 6.6.2011 by means of this writ petition and has submitted that when the meter was installed by the Licencee as per "Installation and Operation of Meters Regulations, 2006" and that when the petitioner was being given the electricity and it was also being paid for as per the meter installed then a fresh demand could not be issued.

7. Learned counsel for the petitioner relied upon the Clause 6.15 of the U.P. Electricity Supply Code, 2005 (hereinafter referred to as the "Code") and Section 56(2) of the Electricity Act, 2003 (hereinafter referred as the "Act"), and has submitted that no sum due from any consumer could be recovered after the period of two years from the date when such sum became first due.

8. Since the learned counsel for the petitioner has relied upon Clause 6.15 of the Code and Section 56(2) of the Act, both are being reproduced here as under respectively:—

"*6.15 Recovery of Arrears*

(a) The payments due to the Licensee shall be recovered as per provision of Section 56 of the Act, and arrears of land revenue as per the provisions of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958, as amended from time to time.

(b) Notwithstanding anything contained in any other law for the time being in force, no sum due from any consumer shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown continuously as recoverable a arrear of charges of electricity supplied, and the supply of the electricity shall not be disconnected by licensee for this reason."

<u>Section 56: (2)</u> *Notwithstanding anything contained in any other law for the time being in force, no sum due from any consumer, under this section shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown continuously as recoverable as arrear of charges for electricity supplied and the licensee shall not cut off the supply of the electricity*."

9. Learned counsel for the Electricity Department Sri. Anubhav Singh, however, in reply has submitted that when the petitioners load of electricity was raised from 480 KVA to 880 KVA then the strength of the transformer was increased from 30/5 to 50/5 and, therefore, the MF ought to have been increased from 6 to 10. For this purpose, he has drawn the attention of the Court towards the document dated 21.9.2007 which has been filed along with counter affidavit at page 25.

10. Learned counsel for the Electricity Department has also drawn

the attention of the Court to the contents of paragraph no. 3(c) of the Counter Affidavit which states as under:—

"*3C. That while enhancing the load from 480 KVA to 880 KVA the meter installed was not changed and only C.T. (Current Transformer) of 30/5 was replaced by 50/5. The copy of the Sealing Certificate dated 21.09.2007 is being filed and is marked as Annexure No. CA-3 to this affidavit*."

11. Learned counsel for the Electricity Department has stated that the petitioner though has replied to the paragraph 3(c) of the counter affidavit in paragraph no. 4 of the rejoinder affidavit, it has not categorically denied the contents of paragraph no. 3(c) of the counter affidavit and he, therefore, states that the contents of paragraph no. 3 (c) of the counter affidavit be taken at their face value.

12. Learned counsel for the Electricity Department has further submitted that the mistake was a genuine mistake and that it was revealed only when the contractor for billing etc. was changed and the work of metering was handed over to Infinite as has been mentioned in paragraph no. 3(h) of the counter affidavit. He, therefore, submitted that it was in the fitness of things that the electricity due which was being raised by the demand notice be paid by the petitioner.

13. Learned counsel for the Electricity Department has relied upon the case of *Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Limited* v. *Rahamatullah Khan @ Rahamjulla* passed in Civil Appeal No. 1672 of 2020 (Arising out of SLP (Civil) No. 5190 of 2019) and has submitted that as per Section 56(2) of the Act, there was no limitation, if a supplementary bill was being provided and he submits that the limitation of two years given in Section 56(2) of the Act would commence from the date when the mistake was discovered by the Electricity Company. In the instant case, he submits that mistake was discovered well within two years.

14. Having heard the learned counsel for the parties, we are definitely of the view that the electricity connection was taken by the petitioner in the year 2007 and the MF at that time was 6. The MF might have increased with the increase of the load from 6 to 10. However, taking into consideration, the demand was raised on 6.6.2011, we are definitely of the view that the demand could not be for more than two years preceding the bill which was sent on 6.6.2011.

15. Under such circumstances, we are of the view that any amount which was being demanded for a period which was before 6.6.2009 could not be taken by the Electricity Department. The judgment in *Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Limited* (supra), even though deals with Section 56(2) of the Act, it does not deal with the provisions of Clause 6.15 of the Code. The judgment in paragraph no. 9 has stated that the licensee company was not

precluded from raising a supplementary demand after the expiry of the limitation period of two years but, in the instant case, we find that no supplementary bill was being sent but a fresh bill was being sent for a period of more than two years. The error as had been committed by the Electricity Department could have been known to it only. The petitioner bonafidely had paid all the bills which were sent to it. We are, therefore, of the view that the demand which was raised on 6.6.2011 could have been raised the demand for only two years preceding the date 6.6.2011.

16. Under such circumstances, the bill dated 6.6.2011 is quashed and we direct the Electricity Department to rectify the bill which would charge the petitioner only for a period prior to two years prior to 6.6.2011. A fresh bill be accordingly issued to the petitioner.

17. With the aforesaid observations, this writ petition is partly allowed.
